

OJ Commerce, LLC

v.

**Hamburg Südamerikanische Dampfschiffahrtts-Gesellschaft A/S and
Hamburg Sud North America, Inc.**

FMC Docket No. 21-11

**Respondents' Partial Motion to Dismiss and/or
for Summary Judgment**

Public - Unrestricted

**BEFORE THE
FEDERAL MARITIME COMMISSION**

OJ COMMERCE, LLC,

Complainant

v.

HAMBURG SÜDAMERIKANISCHE
DAMPFSCHIFFFAHRTS-GESELLSCHAFT A/S
& CO. KG

and

HAMBURG SUD NORTH AMERICA, INC.

Respondents.

DOCKET NO. 21-11

**RESPONDENTS' PARTIAL MOTION TO
DISMISS AND/OR FOR SUMMARY JUDGMENT**

Wayne R. Rohde
Kathryn Sobotta
COZEN O'CONNOR
1200 Nineteenth Street, NW
Suite 300
Washington, DC 20036
(202) 463-2507

Rachelle Barstow
Head of US Litigation
Maersk Services USA Inc.
180 Park Avenue
Florham Park, NJ 07932
(973) 738-6780

David W. Marston Jr.
Jawad B. Muaddi
Morgan, Lewis & Bockius LLP
600 Brickell Avenue, Suite 1600
Miami, FL 33131
(305) 415-3443

July 26, 2022

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and	)	
	)	
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	)	
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	)	

DOCKET NO. 21-11

**RESPONDENTS’ PARTIAL MOTION TO
DISMISS AND/OR FOR SUMMARY JUDGMENT**

Respondents Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S (“HSDG”) and Hamburg Sud North America, Inc. (“HSNA”), through counsel, hereby move to dismiss several claims contained in the amended verified complaint (“Complaint”) in this proceeding or, to the extent this motion relies on materials outside of the pleadings, for summary judgment with respect to claims for which the motion relies on such materials. Respondents also move for dismissal of Hamburg Sud North America, Inc. as a party.

I. INTRODUCTION AND BACKGROUND

This case arises out of a service contract between Complainant OJ Commerce (“OJC”), a U.S. importer, and HSDG, an ocean carrier. The parties signed a contract under which OJC agreed to ship and HSDG agreed to transport 400 twenty-foot containers (“TEUs”) of furniture

from ports in China and Vietnam to City of Industry, CA during the period from June 23, 2020 to May 31, 2021.

Due to a spike in cargo demand resulting from the Covid-19 pandemic, HSDG was unable to provide sufficient vessel space to transport the 400 TEUs it had committed to carry. Not only was there unprecedented demand for vessel space during the pandemic, but the enormous volumes of cargo resulted in port congestion which delayed vessels, thereby adversely impacting the amount of space HSDG and other carriers were able to provide. OJC's agents in China also hindered HSDG's ability to provide sufficient vessel space due to their own confusion with respect to the booking of cargo. At the end of the contract term, HSDG transported provided space for 370 TEUs, 30 TEUs less than it had committed to transport.

There were some discussions between HSDG and OJC regarding the possibility of entering into a new contract for 2021-2022, but HSDG discontinued those discussions in late April of 2022.

OJC filed a complaint with the Federal Maritime Commission in November of 2021, alleging HSDG had violated the U.S. Shipping Act of 1984, as amended (46 U.S.C. §40101 et seq.)(the "Shipping Act"). The initial complaint sought to recover just over \$40,000 in demurrage charges OJC claimed had been improperly assessed by HSDG, as well as damages "in excess of \$100,000" for breach of contract. OJC filed the Complaint in February of 2022, adding additional Shipping Act claims and increasing the damages claimed to "over \$21.6 million." Without admission of any wrongdoing and for purposes of efficiency, HSDG has refunded the allegedly improper demurrage charges, rendering that issue moot.¹ This motion focuses on certain remaining allegations.

¹ Accordingly, OJC's claim under Section 41102(c) with respect to demurrage should be dismissed as moot.

II. APPLICABLE LEGAL STANDARD

The Commission's rules of practice and procedure do not explicitly provide for motions to dismiss. However, Rule 12 (46 C.F.R. §502.12) states that the Federal Rules of Civil Procedure ("FRCP") are followed in instances that are not covered by the Commission's rules, to the extent that the application of the FRCP is consistent with sound administrative practice. Pursuant to Rule 12, the Commission has adopted the standards applicable under Federal Rule of Civil Procedure 12(b)(6) and the federal case law interpreting it. *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620 (FMC 2014), citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.* 32, S.R.R. 126, 136 (FMC 2011).

When considering a motion to dismiss, the Commission evaluates the facts in the complaint, exclusive of legal conclusions presented as fact and inferences made, to determine whether "they plausibly give rise to an entitlement of relief." *In Re: Vehicle Carrier Services*, 1 F.M.C. 2d 45, 53 (ALJ 2018) (citing *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 58 (FMC 2015)). Stated another way, a motion to dismiss is appropriate if it is clear that no relief may be granted under any set of circumstances that could be proved consistent with the allegations contained in a complaint. See, e.g., *Cargo One, Inc. v. Cosco Container Lines Company, Ltd.*, 28 S.R.R. 1351, 1362 (ALJ 2000) and cases cited therein.

III. SEVERAL OF OJC'S CLAIMS SHOULD BE DISMISSED

Several of OJC's Shipping Act claims should be dismissed because no relief may be granted under any set of circumstances with respect to those claims.

A. OJC's Claim Under Section 41102(b)(2) Is Invalid

Section 41102(b)(2) of the Shipping Act makes it unlawful for a person to:

operate under an agreement required to be filed under section 40302 or 40305 of this title if—

(1) the agreement has not become effective under section 40304 of this title or has been rejected, disapproved, or canceled; or

(2) the operation is not in accordance with the terms of the agreement or any modifications to the agreement made by the Federal Maritime Commission.

Sections 40302 and 40305 of the Shipping Act apply to the filing of agreements between or among ocean common carriers. The contract at issue in this case is a service contract between an ocean common carrier and a shipper, which is required to be filed under Section 40502 of the Shipping Act. Because the service contract is not required to be filed under Sections 40302 or 40305, the prohibition contained in Section 41102(b)(2) is not applicable to the service contract between OJC and HSDG, and thus no relief may be granted for any alleged violation of Section 41102(b)(2).² Accordingly, OJC's claims under Section 41102(b)(2) should be dismissed.

B. OJC's Claims Under Sections 41104(5) and 41104(9) Are Without Merit

OJC's claims under Sections 41104(5) and 41104(9) should also be dismissed. These two provisions are closely related and are addressed together. They make it unlawful for a common carrier such as HSDG, when providing service pursuant to a service contract, to:

engage in any unfair or unjustly discriminatory practice in the matter of rates or charges with respect to any port

or

give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port

When Congress adopted these two provisions³ in 1998, it stated:

First, sections 10(b)(5) and (9) of the 1984 Act, as amended by the bill, would protect localities from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier

² This is consistent with Section 40502(f), which deprives the Commission of jurisdiction over garden variety breach of contract claims. It would be nonsensical for Section 41102(b)(2) to apply to cases involving a failure to adhere to a service contract (i.e., a breach of contract) when Section 40502(f) expressly states that such cases are not to be decided by the Commission.

³ These two provisions were amended effective June 16, 2022. Because cases are decided pursuant to the law in effect at the time the events occurred, we quote the statutory language as it was in effect prior to June 16, 2022.

service contracts. The Committee intends the application of these prohibitions to a locality to be limited to circumstances in which the prohibited actions are clearly targeted at the locality, not to circumstances where the actions are targeted at a particular shipper or ocean transportation intermediary which happens to be associated with that locality.

S. Rep. 61, 105th Cong., 1st Sess., p. 28 (1997) (emphasis added). Here, OJC is alleging that HSDG's behavior targeted OJC rather than a specific locality:

Respondents' conduct during the course of providing service to Complainant pursuant to the parties' service contract, which was continuous and ongoing until expiration of the service contract, constituted an unfair and unjustly discriminatory practice against Complainant in the matter of rates or charges with respect to the ports identified in the service contract...

Complaint, ¶ 12 (emphasis added). The Complaint also alleges that:

Respondents' conduct during the course of providing service to Complainant pursuant to the parties' service contract, which was continuous and ongoing until the contract expired on May 31, 2021, gave undue and unreasonable preference and advantage to shippers other than Complainant and imposed an undue and unreasonable prejudice and disadvantage to Complainant with respect to the ports identified in the parties' service contract...

Complaint, ¶ 13 (emphasis added). The Complaint alleges that the conduct in question was aimed at OJC rather than at specific localities. Thus, the Complaint seeks to apply the statute in a manner that is totally at odds with the manner in which Congress intended it to be applied. As a result, these prohibitions are inapplicable; there are no circumstances under which relief may be granted with respect to these allegations; and OJC's claims under Sections 41104(5) and 41104(9) of the Shipping Act should be dismissed.

C. OJC's Section 41104(10) Claim Should Be Dismissed Or, Alternatively, Summary Judgment Granted In Favor Of Respondents

Section 41104(10) makes it unlawful for a carrier such as HSDG to:

unreasonably refuse to deal or negotiate

Here, HSDG did not refuse to deal or negotiate with OJC, unreasonably or otherwise.⁴

While HSDG declined to enter into a service contract with OJC for 2021-22, it did not refuse to deal or negotiate with OJC. In a May 5, 2021 email to OJC (attached as Exhibit #1 hereto), HSDG offered to deal with OJC on a “case by case basis,” i.e., to move cargo at rates other than under a service contract. Thus, under Commission precedent, HSDG did not refuse to deal or negotiate with OJC.

In this regard, the Shipping Act does not require a common carrier to offer or provide a service contract to every customer that requests one, and i not entering into a service contract does not, in and of itself, constitute a refusal to deal. *Consumer Elec. Shippers Ass’n, Inc. v. Asia North America Eastbound Rate Agreement*, 26 SRR 85 (ALJ 1991). In that case, the ALJ considered an alleged unreasonable refusal to deal claim arising out of the failure of the parties to conclude a service contract. Turning to antitrust law for guidance, the ALJ noted that in antitrust law, a seller, even if a monopolist, is not found to have refused to deal unreasonably merely because the seller refuses to accede to every demand of the buyer. There is some room for negotiation between parties attempting to enter into contracts and if negotiations fail, a party is not thereby automatically found to have violated antitrust law. 26 SRR at 93, citing *Trace X Chemical, Inc. v. Canadian Industries, Ltd., et. al.*, 738 F.2d 261, 267 (8th Cir. 1984); *Fairdale Farms v. Yankee Milk, Inc.*, 715 F.2d 30, 34 (2d Cir. 1983).

Because HSDG was willing to do business with OJC other than under a service contract and offered to do so, OJC’s claim that there was an unreasonable refusal to deal or negotiate should be dismissed.

⁴ This provision was also amended effective June 16, 2022. Again, we quote the statutory language in effect prior to that date.

D. HSNA Should Be Dismissed As A Respondent Due To The Lack Of Jurisdiction

Because the Commission lacks jurisdiction over HSNA, HSNA must be dismissed as a respondent.

The allegations in the Complaint apply to common carriers, marine terminal operators, and/or ocean transportation intermediaries. HSNA is none of these. As evidenced by the agency agreement attached hereto as Exhibit #2, HSNA acts solely as the agent of HSDG. As an agent, HSNA does not act as a common carrier, marine terminal operator, or ocean transportation intermediary. Accordingly, it is not subject to the Shipping Act, and the FMC has no jurisdiction over HSNA. Therefore, HSNA should be dismissed as a respondent. Agents have been dismissed in similar circumstance in other proceedings. See, e.g., *Hapag-Lloyd AG and Hapag-Lloyd (America) LLC – Possible Violations of 46 U.S.C. § 41102(c)*, FMC Docket No. 21-09, Initial Decision, p. 23 (April 22, 2022).

IV. CONCLUSION

For the foregoing reasons, the claims identified above should be dismissed and/or summary judgment granted in favor of Respondents.

Respectfully submitted,



Wayne R. Rohde
Kathryn Sobotta
COZEN O'CONNOR
1200 Nineteenth Street, NW
Suite 300
Washington, DC 20036
(202) 463-2507

/s/ *Rachelle Barstow*
Rachelle Barstow
Head of US Litigation
MAERSK SERVICES USA INC.
180 Park Avenue
Florham Park, NJ 07932
(973) 738-6780

/s/ *David W. Marston, Jr.*
David W. Marston Jr.
MORGAN, LEWIS & BOCKIUS LLP
600 Brickell Avenue, Suite 1600
Miami, FL 33131
(305) 415-3443

Dated: July 26, 2022

Exhibit 1

From: Andrea Casanova [/O=EXCHANGELABS/OU=EXCHANGE ADMINISTRATIVE GROUP (FYDIBOHF23SPDLT)/CN=RECIPIENTS/CN=75D18231451A463781639A551EBDD55E-CASANOVA, A]
Sent: 5/4/2021 3:28:09 PM
To: Jacob Weiss [jacob@ojcommerce.com]
CC: Andrea Cobo [Andrea.Cobo@hamburgsud.com]
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hello Jacob,

As per our conversation, we are not able to renew the contract at this time due to the lack of space and equipment in Asia and the shortage of truck power in the US that we and the entire industry are facing. This situation does not allow us to commit with space for another period, however, we can work case by case.

We deeply apologize contract cannot be renewed and thank you for your support and understanding.

Best Regards,

Andrea Casanova
Account Executive

Hamburg Süd North America, Inc.
2801 SW 149th Ave Miramar, FL 33027
Direct: + 1 (954) 438 5347
Mobile: + 1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com

Classification: Internal

From: Jacob Weiss <jacob@ojcommerce.com>
Sent: Friday, April 30, 2021 11:29 AM
To: Andrea Casanova <andrea.casanova@hamburgsud.com>
Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>
Subject: RE: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

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Andrea, Waiting for your updates.

From: Andrea Casanova <andrea.casanova@hamburgsud.com>
Sent: Wednesday, April 28, 2021 6:04 PM
To: Jacob Weiss <jacob@ojcommerce.com>
Cc: Andrea Cobo <andrea.cobo@hamburgsud.com>
Subject: OJ Commerce (Naomi Home Brand) Contract Renewal / AECC0000291 Expire May 31, 2021

Hi Jacob,

As we spoke yesterday, we are working on your contract renewal so we would like to know an exact minimum quantity commitment (MQC) you are willing to sign to continue with process renewal.

At this time, please consider this commitment for the place of delivery City of Industry CA only.

I look forward to your feedback.

Thank you.

Best Regards,

Andrea Casanova
Account Executive

Hamburg Süd North America, Inc.
2801 SW 149th Ave Miramar, FL 33027
Direct: + 1 (954) 438 5347
Mobile: + 1 (305) 904 1961
E-Mail: andrea.casanova@hamburgsud.com

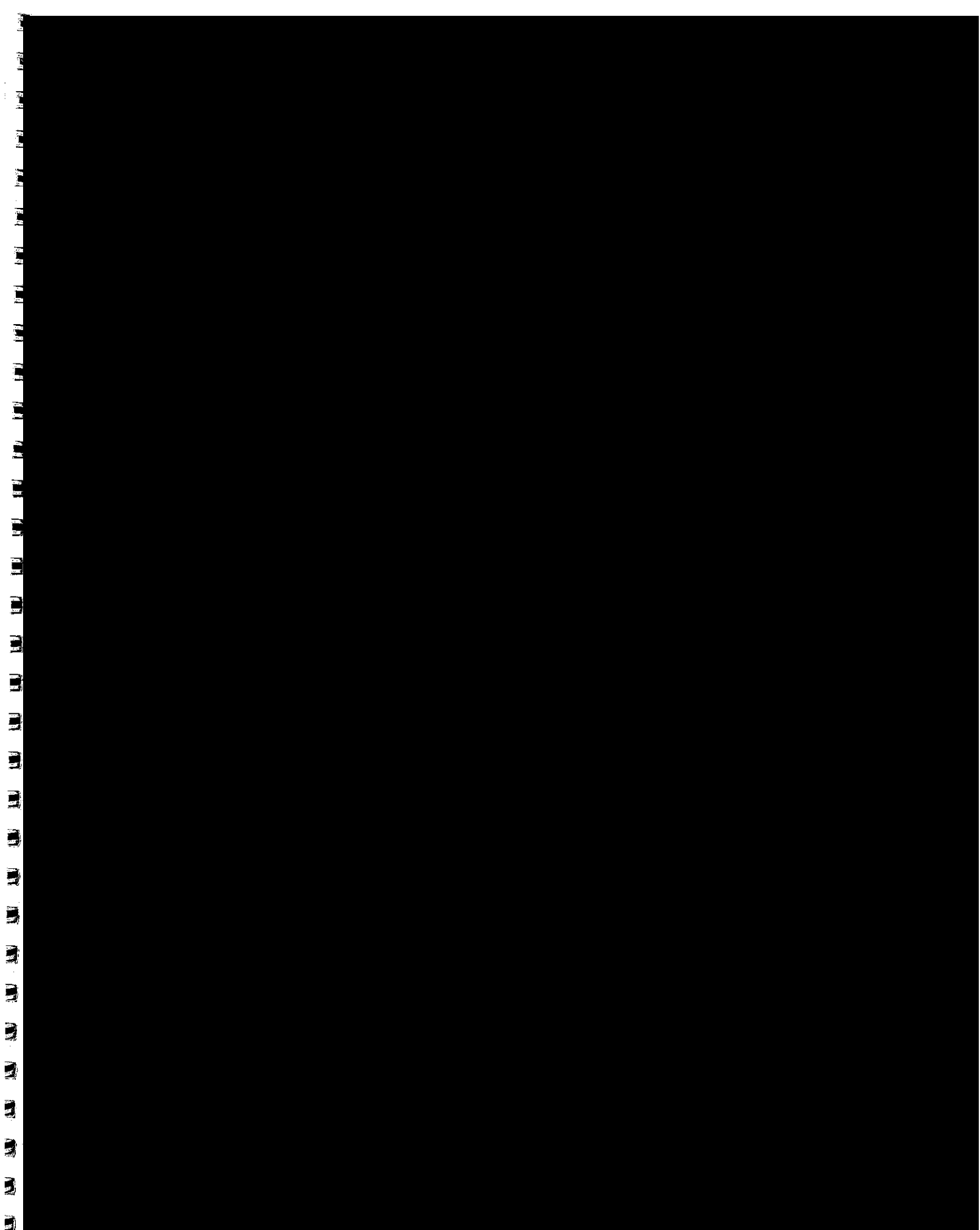
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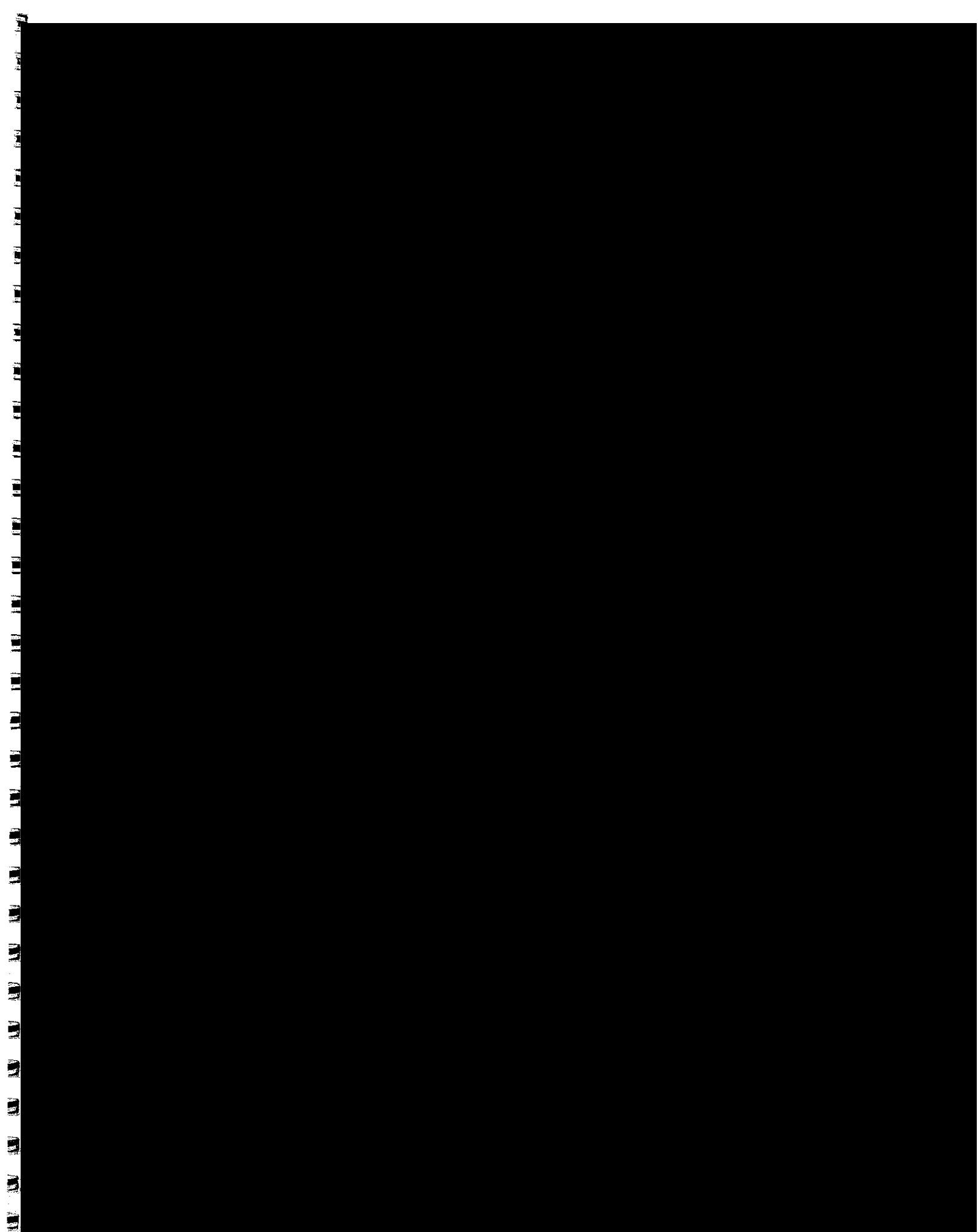
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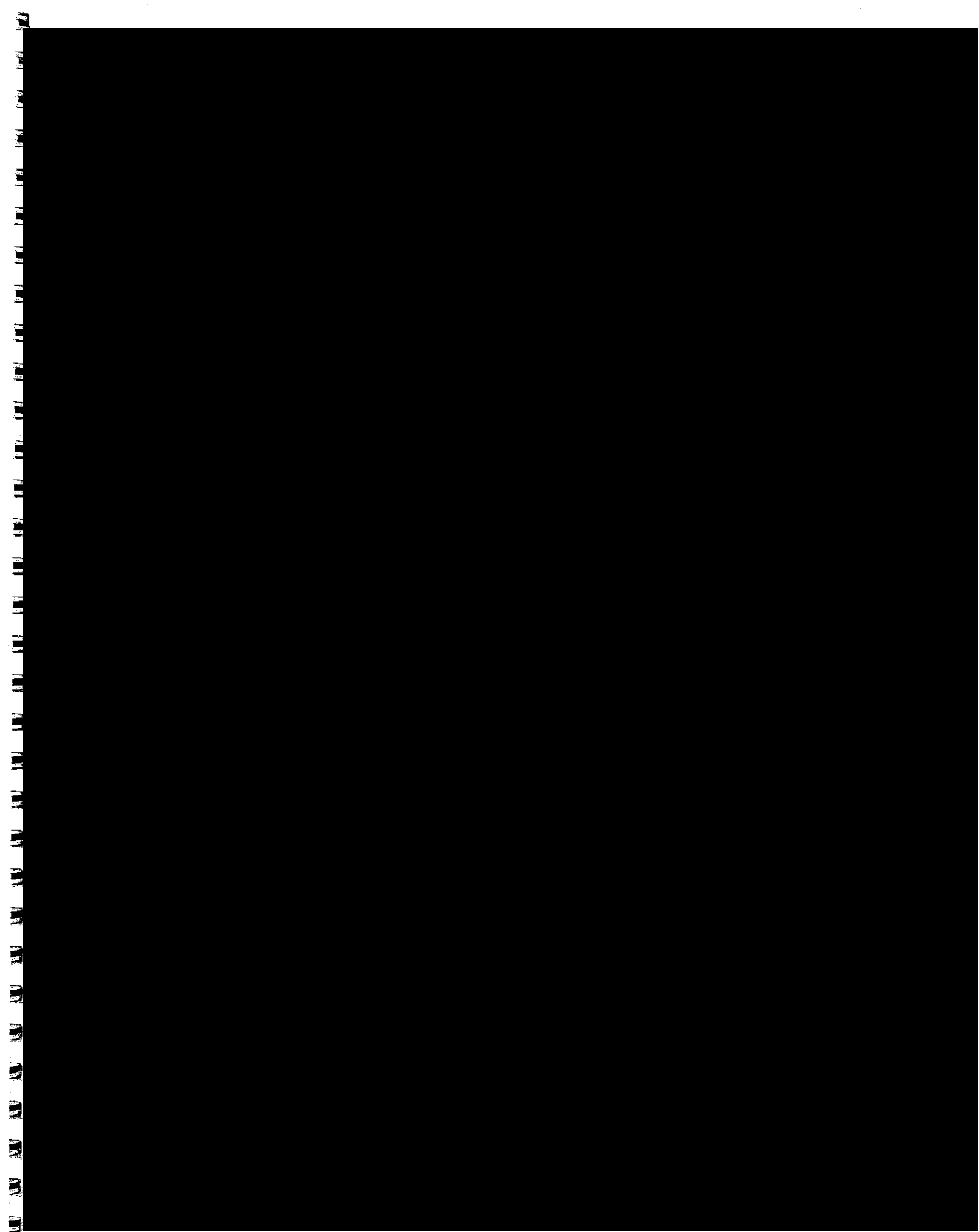
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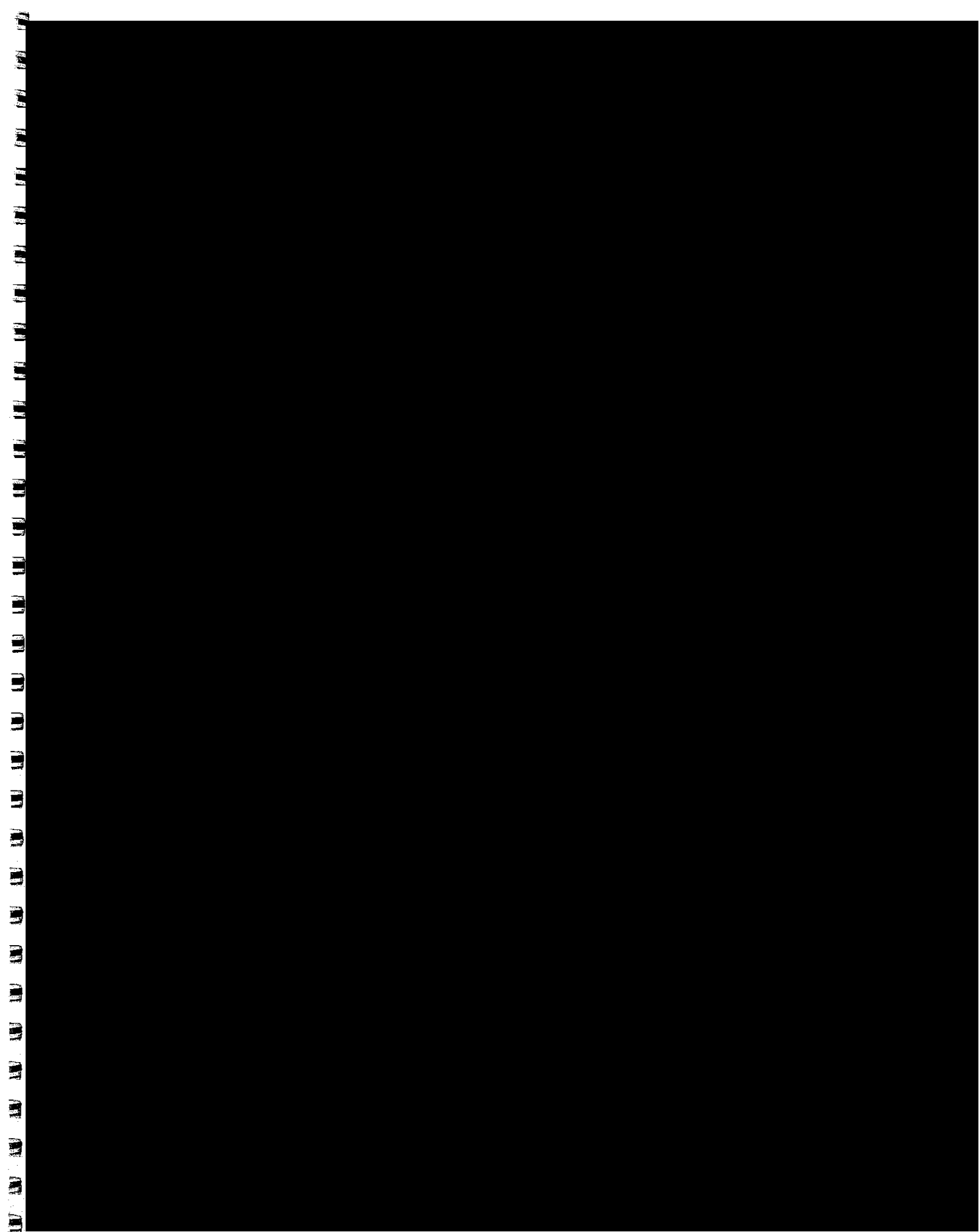
Exhibit 2

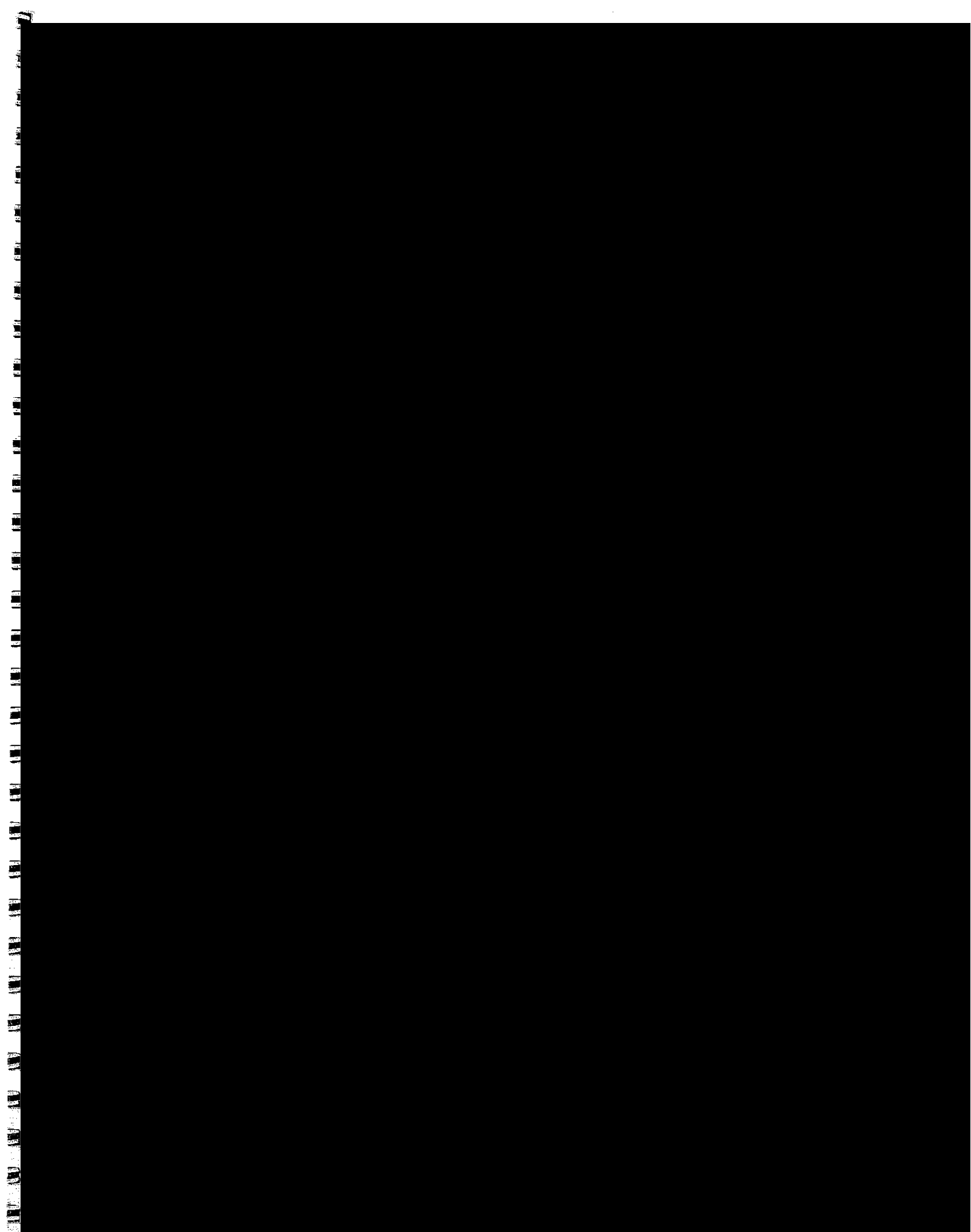












CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 26th day of July, 2022, the foregoing Respondents' Partial Motion To Dismiss And/Or For Summary Judgment was served via electronic mail on:

Shlomo Y. Hecht
sam@hechtlawpa.com

and

Aaron Davis, Esq.
davis@valhallalegal.com

A handwritten signature in black ink, appearing to read "Wayne R. Rohde", written over a horizontal line.

Wayne R. Rohde